

SOUTHLAND HOLDINGS INC SLND

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by

MarketEuphoria

			2026	2027
Price:	0.62	EPS	0	0
Shares Out. (in M):	55	P/E	0	0
Market Cap (in \$M):	34	P/FCF	0	0
Net Debt (in \$M):	493	EBIT	0	0
TEV (in \$M):	527	TEV/EBIT	0	0

Description

Note: SLND is a ~\$34mm market cap company with low trading volume and significant debt. Size accordingly.

Business Overview

SLND is a construction company that specializes in water and marine related infrastructure. The Company operates in two segments:

- Civil
 - In this segment SLND focuses primarily on water pipelines, pump stations, tunneling, and water/wastewater treatment plants. This segment is also home to the very nascent data center business that management wishes to further prioritize.
- Transportation
 - SLND specializes in the construction of bridges, marine facilities, ship terminals, and specialty structures.

A unique aspect of SLND's business is that the Company self-performs ~80% of its own work, which theoretically should help avoid the typical delays and cost overruns that come with using subcontractors. Similarly, the Company both manufactures and owns its own tunnel boring machines (TBMs) which creates significant vertical integration. SLND has suggested that this makes it just one of two bidders on highly complex projects.

Customers

SLND operates with an 80/20 split between public sector customers across all levels of government and private customers.

Toxic Contracts and Distress Set Up

SLND is currently in a **massively distressed position** primarily resulting from a number of loss making projects, which I am referring to as "Toxic Contracts". I am grouping this into three main categories:

- Materials & Paving (M&P)
 - SLND's Transportation business historically participated in large-scale concrete and asphalt projects, including the manufacturing of these materials for self-performed paving projects. In 2Q23 the Company decided that continuing in this business was unviable and sold assets and began the process of winding down existing contracts. Because it then had to procure and transport materials for third parties at much higher costs than the original self-performance estimates, these contracts have been an incredible drag on profitability. As of 1Q26, the M&P backlog sits at \$71mm with management expecting substantial completion by the end of 2026. Note that the Company had originally forecasted the bulk of this work to be completed in 2024 with a smaller amount wrapping up by mid-2025, before this got continuously pushed out to the current forecast. The inability to nail down a timeline and fully wrap up these projects is a clear and major risk, and a significant reason for SLND's current distressed positioning.
- Non-M&P Legacy Contracts
 - A large portion of these legacy contracts come from SLND's acquisition of American Bridge Company (ABC) in 2020 which brought along at least 27 highly technical projects. While management suggested that these were "substantially complete" in 3Q25, just one quarter later, in 4Q25, the ABC acquisition delivered its most potent blow when an adverse ruling on one of the projects, the Washington State Convention Center (WSCC) led to a \$46.7mm reversal in revenue and an \$89.1mm legal liability. In other words, the construction phase of ABC's legacy contracts are complete but there could be negative impacts from financial and legal tails.
 - This bucket also includes a number of complex fixed price contracts as well as other legacy projects from pre-COVID that were severely hampered by disruptions and inflation.
 - As of 1Q26, there was \$42mm in non-M&P backlog
- Unresolved Contract Modifications (UCM)
 - These are amounts listed within contract assets on the balance sheet and represent additional costs and profits that SLND believes it is entitled to and will recover due to the terms of the contracts. While this should be a **potential source of cash**, the aforementioned adverse ruling on the WSCC project had been booked within this line item. Sine management's accounting of these UCMs cannot be trusted I've included it within the Toxic Contracts category.
 - While it seems unlikely that another major bomb exists within these contracts, and these could still turn out to be cash generating assets, anything is possible. As of 1Q26, these amounts were \$372.2mm and I give no value to them in my modeling below.

Thesis

- **Why is the debt manageable?**

- **Pseudo Change in Control and Surety Intervention**

- In early 2026, SLND's surety partners (Berkshire, Markel, and Zurich) became SLND's main creditors. As part of this process they bought out a \$110mm term loan from Callodine Commercial Finance, waived interest and principal on the term loan (freeing up \$27mm in FCF), and provided a capital injection of \$228mm (\$139.2mm in working capital to enable ongoing construction work and \$89.1mm to cover the WSCC settlement). They have also agreed to forego collecting on these amounts until at least May 2027. Lastly, the surety consortium and SLND are currently finalizing a complete, long-term financing to help SLND address its liquidity issues.
- While the terms mentioned above are favorable to SLND, this was by no means an act of charity. The buyout of the term loan (which has a first lien on all assets) was meant to protect the sureties from being on the hook for massive losses without any collateral should the Company have gone bankrupt. This move now puts the sureties completely in the driver's seat. In fact, I would argue that SLND is now effectively undergoing an out of court-restructuring in the public markets. Instead of going through a messy and costly Chapter 11 process, the consortium has effectively provided DIP financing through its \$228mm working capital injection. This should help SLND manage its operations in an orderly fashion and even grow its backlog. Additionally, by avoiding Chapter 11 the sureties:
 - Help avoid any complications around termination of existing contracts or winning new contracts. This is particularly important because most of SLND's work is related to large, complicated public works projects. Federal, state, and local governments are not easily going to award contracts to a bankrupt company.
 - Keep management's skin in the game, particularly Frank (CEO) and Rudy Renda (co-COO), and Tim Winn (Co-COO) who own 51%, 17%, and 3% of the Company, respectively. As noted, SLND's projects are highly complex and management's significant expertise is an asset that the sureties need to utilize. A bankruptcy would zero out their stakes and destroy any incentive for management to stick around and help stabilize the business. This would leave the sureties with a major headache on their hands.
 - Avoids costly Chapter 11 costs that could easily run into the tens of millions of dollars.
- I believe these initial actions from the sureties represents a significant debt restructuring that has at least temporarily lifted the existential threat from SLND's debt load. While it's possible (likely?) that the finalized agreement is more onerous than the current favorable terms, bankruptcy risk seems to have been materially reduced and replaced with a partner that is willing to stick it through with SLND until they get to the other side.
- Management has noted that their agreement with the sureties requires the sale of non-core assets and idle equipment to help pay down debt. I view this specific requirement as a "hard catalyst" that the sureties will require from SLND in order to address leverage. These moves should be helpful to the equity over the medium term.
- Ultimately, if SLND were unable to fulfill its existing work, it is the sureties who are completely on the hook. They are the ones responsible for finding other contractors to step in and finish projects, which will require paying massive premiums. While buying out the credit gives them some recourse, it's not enough. It is a much better outcome to utilize the Renda's expertise, runoff the legacy contracts as best as possible, generate profitability from existing healthy projects, and win new business to get paid back in full. In the process, I believe this will create value for the equity.

- **Runoff of M&P and other Toxic Contracts**

- The very first thing to note is that management has routinely underestimated both the impact and the timeline of these contracts. In 1Q26 alone there was a \$13.1mm gross loss from M&P and another \$13mm in unfavorable adjustments. It seems like these impacts (some non-cash) are never ending and SLND's legacy book of business is complete rat poison. However, the ABC projects have been wrapped up and my read is that there are only 3 active M&P projects left. One of these projects even experienced a \$21mm increase in revenue in 3Q25 which should help soften losses. Overall, the general trend has been a steady reduction, though the timeline has been repeatedly extended, and I believe this runoff will continue in a more manageable fashion as the sureties provide a more stable hand. To be clear, I am not predicting exactly when this wind down will be complete nor am I saying that there will be no additional losses / negative revisions. Instead, I believe that the sureties will 1) work to ensure that this backlog winds down in a more orderly manner than the past and 2) provide any additional working capital injections to bridge SLND to the other side of this liquidity crunch.

Quarter	Materials & Paving (M&P) Backlog	Non-M&P Legacy Backlog
1Q23	Not explicitly disclosed	Not explicitly disclosed
2Q23	~12% of total backlog (implied ~\$324 million)	Not explicitly disclosed
3Q23	~11% of total backlog (implied ~\$279 million)	Not explicitly disclosed
4Q23	~\$240 million (8.5% of total)	Not explicitly disclosed

1Q24	~\$200 million (7.7% - 8.0% of total)	Not explicitly disclosed
2Q24	Just under \$200 million (~7.0% of total)	Not explicitly disclosed
3Q24	~\$180 million	~\$105 million
4Q24	~\$163 million	~\$83 million
1Q25	~\$139 million	~\$59 million
2Q25	~\$99 million	~\$40 million
3Q25	~\$89 million	~\$32 million
4Q25	~\$74 million	Not explicitly disclosed
1Q26	~\$71 million	~\$42 million

- Healthy PF Backlog

- When adjusting for SLND's Toxic Contracts, the PF backlog of \$1.76bn as of 1Q26 (\$1.06bn Transportation and \$704mm Civil) is performing quite well. In fact, this strong underlying performance has been consistent over the last few years:

	3Q21	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
GAAP Civil GMs	30.2%	-1.8%	9.3%	16.6%	12.5%	20.4%	12.0%	9.0%	13.7%	22.7%	21.2%	11.5%	-32.8%	7.7%	22.0%	17.9%	10.5%	-53.6%	14.1%
GAAP Transportation GMs	-2.2%	15.6%	-1.1%	12.8%	20.3%	8.9%	7.1%	-25.7%	9.8%	-2.1%	1.5%	-30.1%	-32.8%	-0.3%	-1.0%	-1.1%	-7.9%	-84.3%	-27.5%
Adj. Civil GMs	30.2%	-1.8%	9.3%	16.6%	12.5%	20.4%	12.0%	9.0%	13.7%	22.7%	21.2%	11.5%	15.5%	7.7%	22.0%	17.9%	17.1%	-16.0%	14.1%
Adj. Transportation GMs	-2.2%	15.6%	-1.1%	12.8%	20.3%	8.9%	14.4%	6.0%	16.2%	7.8%	7.8%	9.0%	2.5%	12.3%	14.4%	8.5%	3.1%	14.4%	9.5%

- Average adj. Civil and Transportation GMs have been ~15% and ~9%, respectively. 4Q25 is highlighted because I wasn't able to adjust the numbers with confidence and have also excluded them from my average calculation.
- Now, the obvious and fair pushback here is that you can adjust your way into oblivion. If you continuously underwrite 99 contracts well but have 1 toxic contract that destroys the profitability of all other remaining contracts, the 99 are of no use. I think this is a real risk and fair criticism of SLND, management, and the remaining backlog. Again, it's important to note that I believe the sureties are basically in control of the Company. They have significant capital invested in SLND and have every incentive to make sure that not only do the Toxic Contracts wind down but that the existing PF backlog is executed properly so that the term loan and surety payables can start to be repaid.
- Data Center Optionality
 - During 4Q earnings management announced a \$48mm data center contract focused on critical utility infrastructure, in-line with the Company's core water capabilities. It does not seem like SLND is chasing a hot sector that they have no expertise in but instead focusing on the elements of data center construction (i.e. supporting massive liquid cooling and utility needs) that they are well positioned to support. These projects are also short duration which should help prevent some of the horrible mistakes of the past while bringing in much needed cash flow.
 - Management has suggested that there could be projects as small as \$15 to \$20mm and as large as \$75mm with the profitability of these deals roughly in-line with the existing mid-teens margins of the Civil segment. Even just 3-5 deals could add \$20-30mm of GP.
 - If there is enough consistency in the wins and the size of the deals, the narrative on SLND could quickly flip, though this is not something that I am baking into my base underwriting whatsoever.

- Appointment of Chief Transformation Officer (CTO)

- Another clear indicator that it is the sureties that are in charge of SLND comes from the hiring of Nick Campbell of Meru in December 2025. His contract makes clear that the Company's existing management has basically been reduced to a backseat role while Campbell handles the stabilization of the business. His contract includes:
 - Absolute Veto Power over "Major Actions": The Company cannot approve any asset sales, transactions, or executive compensation increases without the CTO's explicit consent.
 - Cash and Draw Control: The CTO is mandated to oversee the "13-week cash flow forecast," approve all biweekly budgets, and, most importantly, oversee and approve "any draw request made upon any loan or credit facility provided by Sureties". He is also responsible for developing a 5-year financial forecast. I think the inclusion of a 5-year forecast is a positive indication about growth intentions and avoiding Chapter 11
 - Direct Creditor Access & Alignment: While the CTO reports to the Chairman, the contract explicitly states the CTO "shall be directly accessible" by the sureties.
 - Restructuring Mandate: The CTO is explicitly tasked with overseeing alternatives including "restructuring, reorganization, recapitalization, and liquidation.
 - Oversight of legacy projects: The CTO is granted the power to oversee and approve all **settlement discussions** regarding the "Legacy Project Settlements outlined in Exhibit A". Exhibit A lists out SLND's most toxic balance sheet landmines, explicitly listing WSCC and other projects. Strong execution here should help significantly with stabilization.
 - Campbell will also receive incentive compensation for asset sales, though the assets nor the compensation were detailed.
- It is worth looking at Campbell being hired by another publicly traded construction company, Shimmick (SHIM), as CTO for a parallel as to what could be achieved with SLND. While SHIM is still a turnaround in progress (not yet profitable), the business seems to have stabilized and the equity has rerated nicely since then. Ultimately, Campbell's involvement makes me feel better about the legacy backlog finally being wound down properly.

- Initial indication of backlog growth

- It's not enough for SLND to wind down its legacy contracts and execute on its existing backlog, it must also grow its backlog as well. In fact, the sureties have a 'perverse' alignment to growing the backlog as I do not believe the existing book of business is sufficient to pay back the term loan + working capital + manage additional legacy losses + repay any additional surety advances necessary for managing liquidity. In other words, while there will be asset sales that accrue to the benefit of the sureties, it is in the best interest of the consortium to also grow the backlog profitably. If they are successful in doing so, minority equity holders have a chance of benefitting alongside them.
- I originally assumed that the earliest backlog could grow was 2H26, after Campbell had a chance to really stabilize the business. However, on July 17th, SLND announced a group of projects for marine and port facilities in the Caribbean totaling \$25mm alongside a win in Canada for a sewage treatment plant upgrade via one of the Company's JVs (of which it owns 1/3 with SLND's share equivalent to ~\$200mm USD). Operations for the new facility are expected to commence in 4Q30 and final completion is expected for 2Q31. The Canadian win will be added to the backlog in 3Q26.
- These contracts were a positive upside surprise and provide solid evidence that SLND can simultaneously manage the current wind down, execute on the PF backlog, and win new business. Despite the stock rallying ~70% in a couple of days following the wins, SLND has since given up all its gains and is down ~9% prior to the announcement. I don't believe this is warranted as the Company has, very importantly, shown that it can grow despite its current issues.

- Asset Sales

- As mentioned, as part of the sureties stepping in to finance SLND, they have required the Company to pay down the term loan via non-core asset sales (real estate and idle equipment were mentioned). The details of this are unclear but management has noted that selling the assets will not restrict SLND's ability to bid on new projects or execute on core backlog, which has since been verified. Additionally, they expect this process to build over the next few quarters and Campbell as incentive comp tied to asset sales, as mentioned.

- Other

- SLND is controlled by Frank and Rudy Renda, two cousins, who own 51% and 17%, respectively. Frank is CEO and Rudy is Co-COO. The other Co-COO, Tim Winn, also owns 3.6%. All three have massive personal incentive to avoid bankruptcy and play along with the sureties demands to get the Company back on proper footing.
- On March 31, 2026 Winn purchased \$29k shares at \$1.47. While this is not a huge buy by any stretch, it's good to see. In particular, if the sureties were hostile creditors that were willing to nuke the equity / asset base in order to recover their capital, I think this would have been clear to Winn by the end of March. Note that every major surety decision thus far (appointment of a CTO, advancing working capital, paying the WSCC settlement, and acquiring the term loan debt) happened before Winn purchased stock. Winn would not be a buyer of the stock if he felt that the sureties were out for blood with respect to the recovery of their capital.

Model

	Bear	Base	Bull
Transportation backlog - 1Q26	1174	1174	1174
M&P backlog - 1Q26	-71	-71	-71
Non-M&P toxic backlog - 1Q26	-42	-42	-42
New Transportation backlog wins	50	100	150
Healthy transportation backlog	1111	1161	1211
Civil backlog - 1Q26	704	704	704
New Civil backlog wins	100	250	400
Non-toxic backlog - 3/31/2026	1915	2115	2315
Transportation Revenue	333	406	484
Civil Revenue	211	246	281
Total Revenue	544	653	766
Transportation GPs	27	37	48
Civil GPs	27	42	62
Total PF GPs	53	78	110
1Q26 Annualized SG&A	-51	-51	-51
Total PF EBIT	2	27	59
1Q26 D&A	5.6	5.6	5.6
Total PF EBITDA	7	33	64
<i>Transportation Backlog to Rev Conv %</i>	<i>30.0%</i>	<i>35.0%</i>	<i>40.0%</i>
<i>Civil Backlog to Rev Conv %</i>	<i>30.0%</i>	<i>35.0%</i>	<i>40.0%</i>
<i>Healthy transportation backlog GMs</i>	<i>8.0%</i>	<i>9.0%</i>	<i>10.0%</i>
<i>Civil backlog GMs</i>	<i>11.0%</i>	<i>12.5%</i>	<i>14.0%</i>
<i>Blended GMs</i>	<i>9.8%</i>	<i>12.0%</i>	<i>14.4%</i>

- I start with 1Q26 healthy PF backlog, add estimates for additional contract wins, estimate an annual backlog to revenue conversion based on historicals, and apply gross margins for each segment per management.
 - Note that my additional backlog assumptions compare to \$25mm and \$200mm in already announced Transportation and Civil backlog, respectively. I think my growth estimates are conservative
- SG&A adjusts for \$2.1mm in business transformation expenses in 1Q26
- I forecast ~\$33mm in EBITDA in the base case which puts headline valuation at ~16x adj. EBITDA (EV is currently ~\$527mm) and ~1x market cap. Now for a controversial take. In certain situations where a business is transitioning from losses to profitability, growing, and the debt is termed out, I believe it can be more useful to look at equity multiples rather than EV multiples. If SLND were to generate \$33mm in EBITDA from its existing healthy backlog, I do not believe the market would view it as expensive simply because it is trading at a headline multiple of 16x EBITDA. The equity would almost certainly rerate. Similarly, my view is that the creditors (i.e. the sureties), while absolutely wanting to get paid back, are not sharks and are taking the steps necessary to stabilize and even grow the backlog. Thus, while understanding debt levels is critically important to underwriting risk and position sizing, I don't believe it is as relevant to valuation / EV multiples. Instead, I look at equity multiples to frame how violent a potential rerating could be and at just 1x EBITDA SLND has significant upside in my base case profitability. This is my personal take and I imagine many will disagree.

Risks

- Debt
 - Clearly, debt is an issue here. It cannot be ignored and SLND is at a real risk of bankruptcy. I've explained why I feel comfortable with both the sureties and feel encouraged by backlog growth. However, there is no doubt this debt load could zero the equity.
- Continued Losses from Toxic Contracts
 - So far, losses from legacy contracts have not abated, taken longer to handle than expected, and have even spiraled into catastrophic litigation. This could continue with more pain ahead for the equity, including bankruptcy.
 - The sureties taking an active role by installing Campbell gives me some comfort but he can't just wave a magic wand and make all of the issues disappear. However, the situation and path towards stabilization is better now, in my opinion, than one year or ago or even just prior to Campbell being appointed CTO. Time will tell how he executes.
- Low quality business
 - SLND's current distressed position almost proves that construction is a low quality business. It's unpredictable, rife with litigation, cyclical, and low margin. SLND may have some advantages in its unique tunneling and other capabilities but it's not a long-term business you can feel confident in.

Catalysts

- Financialization of agreement with sureties and access to additional capital
- Successful runoff of M&P and other Toxic Contracts
- Growth in healthy backlog post runoff will translate to meaningful EBIT
- Data centers could be a high-margin, fast turnover, new backlog driver
- Non-core asset sales (real estate, idle equipment, etc.) that help pay down debt
- UCMs convert to cash

Conclusion

SLND will take time and will be extremely volatile. However, I think the setup is unique. You have:

- A public markets Chapter 11 restructuring with a 'friendly' creditor. As mentioned, if SLND's distressed position cannot be fixed, the sureties are the party most liable for future expenses. They are on the hook for completing a project at basically unlimited costs. Equity holders will be wiped but the sureties still need to deliver on their promise of completed work. It's much better to work with the Rendas to see these projects to completion and even grow the business to get paid back, then it is to try and play shark and wipe out shareholders.
- Management has been hamstrung via a restructuring officer who is in charge of managing the legacy backlog, collecting on valuable contract assets, managing expenses and cash flows, selling non-core assets, and basically stabilizing the business. Meru and Campbell should be experts here where the Rendas have proven unreliable.
- Non-core assets that now will be sold, serving as a hard catalyst for debt payoff.
- Aligned management that have seen their entire net worth eviscerated, family business hanging by a thread, and have every incentive to make sure the equity works

- Modest insider buying
- Data center optionality to build the backlog post stabilization
- SLND's unique capabilities that should support backlog

I like the combination of these factors. Perhaps the challenges are too much for SLND and they will go under. Perhaps the sureties misjudged the toxicity of the situation and will decide to nuke the equity to save themselves to the extent possible. All could happen. However, as farfetched as it may sound, a managed wind down of legacy operations and growth are also possible, and that is what I will be playing for.

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Messages

No messages